

7-5 Bank Reconciliation

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Objective 5 - Describe and illustrate the use of a bank reconciliation in controlling cash.

bank reconciliation (The analysis that details the items responsible for the difference between the cash balance reported on the bank statement and the balance of the cash account in the ledger.)

is an analysis of the items and amounts creating the difference between the cash balance reported on the bank statement and the balance of the cash account in the ledger. The adjusted cash balance determined in the bank reconciliation is reported on the balance sheet.

A bank reconciliation is usually divided into two sections as follows:

- 1. The *bank section* begins with the cash balance according to the bank statement and ends with the *adjusted balance*.
- 2. The *company section* begins with the cash balance according to the company's records and ends with the *adjusted balance*.

The *adjusted balance* from bank and company sections must be equal. The format of the bank reconciliation follows:

Cash balance according to bank statement	\$ XXX	
Add: Deposits not recorded by bank (deposits in transit)	XXX	
Deduct: Outstanding checks not paid by bank	(XXX)	
Adjusted balance	<u>\$ XXX</u>	
Cash balance according to company	\$ XXX	
Add: Credit memos that have not been recorded (notes collected by bank)	XXX	
Deduct: Debit memos that have not been recorded (NSF checks, service charges)	(XXX)	
Adjusted balance	<u>\$ XXX</u>	Must be equal.

A bank reconciliation is prepared using steps illustrated in [Exhibit 12](#).

How to Prepare a Bank Reconciliation

Bank Section of Reconciliation

Step 1.

Enter the *Cash balance according to bank* from the ending cash balance according to the bank statement.

Step 2.

Add deposits not recorded by the bank.

Identify deposits not recorded by the bank by comparing each deposit listed on the bank statement with unrecorded deposits appearing in the preceding period's reconciliation and with the current period's deposits.

Examples: Deposits in transit at the end of the period.

Step 3.

Deduct outstanding checks that have not been paid by the bank.

Identify outstanding checks by comparing paid checks with outstanding checks appearing on the preceding period's reconciliation and with recorded checks.

Examples: Outstanding checks at the end of the period.

Step 4.

Determine the *Adjusted balance* by adding [Step 2](#) and deducting [Step 3](#).

Company Section of Reconciliation

Step 5.

Enter the *Cash balance according to company* from the ending cash

balance in the ledger.

Step 6.

Add credit memos that have not been recorded.

Identify the bank credit memos that have not been recorded by comparing the bank statement credit memos to entries in the journal.

Examples: A note receivable and interest that the bank has collected for the company.

Step 7.

Deduct debit memos that have not been recorded.

Identify the bank debit memos that have not been recorded by comparing the bank statement debit memos to entries in the journal.

Examples: Customers' not sufficient funds (NSF) checks; bank service charges.

Step 8.

Determine the *Adjusted balance* by adding [Step 6](#) and deducting [Step 7](#).

Verify That Adjusted Balances Are Equal

Step 9.

Verify that the adjusted balances determined in [Steps 4](#) and [8](#) are equal.

The adjusted balances in the bank and company sections of the reconciliation must be equal. If the balances are not equal, an item has been overlooked and must be found.

Sometimes, the adjusted balances are not equal because either the company or the bank has made an error. In such cases, the error is often discovered by comparing the amount of each item (deposit and check) on the bank statement with that in the company's records.

Any bank or company errors discovered should be added to or deducted from the bank or

company section of the reconciliation, depending on the nature of the error. For example, assume that the bank incorrectly recorded a company check for \$50 as \$500. This bank error of \$450 (\$500 – \$50) would be added to the bank balance in the bank section of the reconciliation. In addition, the bank would be notified of the error so that it could be corrected. On the other hand, assume that the company recorded a deposit of \$1,200 as \$2,100. This company error of \$900 (\$2,100 – \$1,200) would be deducted from the cash balance in the company section of the bank reconciliation. The company would correct the error using a journal entry.

To illustrate, the bank statement for **Power Networking** in **Exhibit 9** is used. This bank statement shows a balance of \$3,359.78 as of July 31. The cash balance in Power Networking's ledger on the same date is \$2,549.99. Using the preceding steps, the following reconciling items were identified:

Step 2.

Deposit of July 31, not recorded on bank statement: \$816.20

Step 3.

Outstanding checks:

Check No. 812	\$1,061.00
Check No. 878	435.39
Check No. 883	48.60
Total	<u>\$1,544.99</u>

Step 6.

Note receivable of \$400 plus interest of \$8 collected by bank not recorded in the journal as indicated by a credit memo of \$408.

Step 7.

Check from customer (Thomas Ivey) for \$300 returned by bank because of insufficient funds (NSF) as indicated by a debit memo of \$300.00.

Bank service charges of \$18, not recorded in the journal as indicated by a debit memo of \$18.00.

In addition, an error of \$9 was discovered. This error occurred when Check No. 879 for \$732.26 to Taylor Co., on account, was recorded in the company's journal as \$723.26.

The bank reconciliation, based on the **Exhibit 9** bank statement and the preceding reconciling items, is shown in **Exhibit 13** for Power Networking.

Bank Reconciliation for Power Networking

Power Networking Bank Reconciliation July 31, 20Y5			
Step 1 →	Cash balance according to bank statement		\$ 3,359.78
Step 2 →	Add: Deposit in transit on July 31		816.20
Step 3 →	Deduct: Outstanding Check No. 812	\$1,061.00	
	Outstanding Check No. 878	435.39	
	Outstanding Check No. 883	<u>48.60</u>	
	Total deductions		<u>(1,544.99)</u>
Step 4 →	Adjusted balance		<u>\$ 2,630.99</u>
Step 5 →	Cash balance according to Power Networking		\$ 2,549.99
Step 6 →	Add: Note and interest collected by bank		408.00
Step 7 →	Deduct: Check returned because of insufficient funds	\$ 300.00	
	Bank service charge	18.00	
	Error in recording Check No. 879	<u>9.00</u>	
	Total deductions		<u>(327.00)</u>
Step 8 →	Adjusted balance		<u>\$ 2,630.99</u>

Step 9

The company's records do not need to be updated for any items in the *bank section* of the reconciliation. This section begins with the cash balance according to the bank statement. However, the bank should be notified of any errors that need to be corrected.

The company's records must be updated for any items in the *company section* of the bank reconciliation. The company's records are updated using journal entries. For example, journal entries should be made for any unrecorded bank memos and any company errors.

The journal entries for Power Networking, based on the bank reconciliation shown in [Exhibit 13](#), are as follows:

July 31 Cash		408		
	Notes Receivable		400	
	Interest Revenue		8	
Assets		=	Liabilities	+ Stockholders' Equity
Cash	Notes Receivable			Interest Revenue
408	400			8

July 31 Accounts Receivable—Thomas Ivey		300		
	Miscellaneous Expense	18		
	Accounts Payable—Taylor Co.	9		
	Cash		327	
Assets		=	Liabilities	+ Stockholders' Equity
Cash	Accounts Receivable		Accounts Payable	Misc. Expense
327	300		9	18

Bank Reconciliation

The following data related to the bank account of Apex Company were gathered on December 31, 20Y9, the end of the fiscal year:

Balance per bank account	\$14,500
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Balance per company records	13,875
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The following additional information was provided to help reconcile the company's bank account:

Bank service charges	\$ 75
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Deposit in transit	3,750
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Check from Dave Hilman returned for insufficient funds (NSF)	800
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Outstanding checks	5,250
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Prepare a bank reconciliation for Apex Company on December 31, 20Y9.

After the preceding journal entries are recorded and posted, the cash account will have a debit balance of \$2,630.99. This cash balance agrees with the adjusted balance shown on the bank reconciliation. This is the amount of cash on July 31 and is the amount that is reported on Power Networking's July 31 balance sheet.

Businesses may reconcile their bank accounts in a slightly different format from that shown in [Exhibit 13](#). Regardless, the objective is to control cash by reconciling the company's records with the bank statement. In doing so, any errors or misuse of cash may be detected.

To enhance internal control, the bank reconciliation should be prepared by an employee who does not take part in or record cash transactions. Otherwise, mistakes may occur, and it is more likely that cash will be stolen or misapplied. For example, an employee who handles cash and also reconciles the bank statement could steal a cash deposit, omit the deposit from the accounts, and omit it from the reconciliation.

Bank reconciliations are also an important part of computerized systems where deposits and checks are stored in electronic files and records. Some systems use computer software to determine the difference between the bank statement and company cash balances. The software then adjusts for deposits in transit and outstanding checks. Any remaining differences are reported for further analysis.

Chapter 7: Internal Control and Cash: 7-5 Bank Reconciliation

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